

everybody can participate equally in the e-commerce game and that is the value," says Nilekani, adding that the value of ONDC lies in making *all* of commerce, e-commerce.

That is good news for both sellers and customers in India's estimated \$75-billion e-commerce market, that has the potential to reach \$200 billion by 2026, according to InGovern Research Services. While ONDC gives small merchants who can't afford to be on marketplaces like Amazon and Flipkart a platform to sell their wares, and access to customers they simply can't reach, it brings a variety of goods and services to customers in areas not served by the biggies.

What began as a pilot project in 2021 with one buyer app, five seller apps and two logistics partners has grown into 36 network participants (buyer apps, seller apps and logistics players put together) and about 300 at various stages of integration. For the uninitiated, 'buyer apps' are consumer-facing apps that connect buyers with sellers; and 'seller apps' are designed for merchants and service providers to list their offerings on the network. (See chart *The Burger Chronicles* to understand how ONDC works.)

The network has around 26,000 merchants on board currently, and has expanded to nearly 200 cities since its beta launch in September 2022. Product categories, too, have grown beyond just groceries and food to fashion, home decor, beauty and personal care, and electronics. Mobility and several other categories are being integrated as well. As recently as March 23, ONDC added Bengaluru-based auto booking app Namma Yatri to its network.

Happy beginnings. A possible happy outcome at the end of a long journey. But a decidedly challenging middle that, if not tackled with assurance, might delay the scale-up and success of what is surely a great idea.

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THE CHALLENGING MIDDLE begins with order numbers, which are worryingly low—hovering around a couple of hundred a day. By end-March 2023, which is when this story will reach you, ONDC says it will clock 5,000 orders per day. While ONDC officials are confident of meeting the target, other stakeholders *BT* spoke with are sceptical. It's not difficult to gauge why. ONDC's numbers pale in comparison to popular e-commerce marketplaces Amazon and Flipkart, which clock an estimated 2.5 million orders per day, according to industry observers. Of

PLATFORM PLAY



ONDC aims to clock 5,000 daily orders by the end of March



PhonePe's arrival is expected to boost ONDC's momentum significantly



Early sellers, however, are disappointed by the slow start but are hopeful of long-term growth



From social enterprises to *kirana* stores and FMCG conglomerates, ONDC is aggressively on-boarding brands to achieve scale



Large marketplaces are adopting a wait-and-see strategy before committing to join

60+
PER CENT

COMBINED SHARE OF AMAZON AND FLIPKART IN THE INDIAN E-COMMERCE MARKET

25
PER CENT

SHARE OF ONLINE IN INDIA'S ORGANISED RETAIL MARKET; THIS MAY GROW TO 37 PER CENT BY 2030

DATA TILL FEBRUARY 2023 **SOURCE** INGOVERN RESEARCH SERVICES